SECTION A – CASE QUESTIONS **(Total: 50 marks)**

Answer 1

The substantive tests of details for the valuation assertion of the Group's inventories:

- Vouch entries in the inventory sub-ledger to vouchers and supporting purchase orders, supplier invoices, and supplier statements;
- Check subsequent payment to suppliers to ensure no material unaccrued costs onto the inventory cost;
- Evaluate if proper accounting of any exchange gains or losses as inventory cost arising from foreign exchange differences;
- Evaluate if all the direct costs attributable to the purchase of the vehicles such as carriage in shipping costs and storage costs have been recorded as inventory cost;
- As the Group uses the first-in, first-out ("FIFO") method, check the sub-ledgers and reconcile the unit cost used to compile the inventory cost and the respective quantities of each model to the latest supplier's invoices to ensure the FIFO costing is correctly calculated;
- Check the reconciliation of the inventory listing to the sub-ledger;
- Check the casting of the inventory sub-ledger;
- Identify any mark down or write-off of obsolete inventory;
- Review write-off and trace to inventory sub-ledger;
- Test the inventory ageing;
- Inspect inventory for evidence of age during the count;
- Identify any models from open market media sources with negative coverage which may indicate fading out and obsolescence;
- Obtain current sales prices for all vehicle models, in particular, whether significant discounts are offered;
- Obtain from management the estimated costs of completion and costs necessary to make the sale when management determines the net realisable value;
- Compare net realisable value of each model to its cost; and

- For provision made by management on Model E, check the recent sales invoice of Model E to validate its subsequent year selling price and the cost to sale items against supporting documents to ensure adequate provision is made.

Answer 2

The order of risk assessment of the provision and accruals from the highest to lowest risk of material misstatements is:

1. Provision for penalties

   The highest risk of material misstatement among these provisions/ accruals is the provision for penalties on the Model E early termination of dealership agreement because this is based on a management estimate which is not supported by any documentary evidence. Furthermore, according to the dealership agreement, the agreed penalties should be RMB25 million x 3 years, which is RMB75 million. However, the provision of RMB30 million is significantly lower than this amount. From the management schedule, it states that this is the management's estimated settlement amount based on the negotiations with the car manufacturer. The car manufacturer has not agreed to this amount. Accordingly, there is a high risk of material misstatement and the maximum exposure is RMB45 million.

2. Provision for warranties

   The provision for warranties is made based on management's assumptions and the claim rate is based on historical data. Since warranty protection for car owners will last for three years, actual costs incurred for the next three years may be materially different from the current provision. When comparing 2022 and 2021, the claims in the current year have significantly increased, but the year-end provision balance remains at a similar level. This reflects the fact that actual warranty costs incurred are significantly higher than expected. Management needs to investigate the reason why the claims increased significantly in the current year. Accordingly, the historical claim rate may not be the best to project the warranty. The provision may face a significant shortfall, thus an additional amount should have been provided in the current year's consolidated financial statements.

3. Accrued sales incentives

   The accrued sales incentives do not involve accounting estimates and therefore has a lower risk than that of the provision for penalties and the provision for warranties. However, when compared to the accrued selling and marketing expenses, this accrual has a higher risk of misstatement because the calculation of sales incentives is not straight forward and involves a range of parameters (from one month salary to 3 months' salaries) and specific sales targets applied to each individual salesman. A risk of misstatement may arise from the wrong calculation or the use of improper data.

4. Accrued selling and marketing expenses

The accrued selling and marketing expenses have the lowest risk of misstatement because these are supported by the suppliers' statements, invoices and subsequent payments. No accounting estimate has been involved.

Answer 3

This is a "subsequent event" as set out in HKSA 560 *Subsequent Events* which refers to events occurring between the year-end date 30 June 2022 and the date of the auditor's report.

The auditor should evaluate the management's proposed adjustment to the 2022 consolidated financial statements based on their determination of adjusting event and non-adjusting event in accordance with the relevant accounting standard.

The occurrence of this matter indicated that the current internal control system was unable to detect the misstatement. This misstatement should have been detected by the accounts department if they investigated why a long outstanding trade receivable was recorded, or when they found out that the balance was not included in the bank statement. The auditor should consider whether there is a material internal control weakness which has led to the misstatement not being detected or prevented.

The auditor should obtain sufficient audit evidence to substantiate the management's assessment and adjustment to the 2022 consolidated financial statements.

This misstatement is indicative of fraud. The auditor shall evaluate the implications of the misstatement in relation to other aspects of the audit, particularly the reliability of management representations.

The auditor should consider if this is an isolated incident which otherwise may indicate that more similar incidents may occur.

The auditor should understand the details of this incident and assess the scope of the management investigation on this matter and ascertain if the management investigation is effective to address this incident.

The auditor should reassess its audit strategy to ascertain if they should continue to rely on controls which were identified to be ineffective. The auditor should reassess if the materiality level should be adjusted and whether the testing samples should be increased.

The auditor should also perform additional work on the trade receivables balances to ascertain if there were other long outstanding trade receivables which should have been further investigated.

Given the ineffectiveness of the reconciliation of receivables to the bank statements, the auditor should perform additional testing on all the bank reconciliations to ensure no material misstatements are identified.

Apart from the above, the auditor should perform additional audit testing on the sales handled by this sales manager and the existence of inventories to ensure all the misstatements have been identified. Apart from sales, there may be misstatements on overstating the accrual of sales incentives to this sales manager as a result of his dishonesty.

Finally, the auditor should consider whether disclosure is required if the subsequent events are material.

If the auditor is not satisfied with the evidence obtained, the auditor should consider modifying its audit report should the impact be material to the consolidated financial statements.

Answer 4

To: Elaine Lee, Engagement Partner
Alice Ma, Engagement Senior Manager
From: Bob, Engagement Manager
Date: Exam date

Subject: Report independence threat

I would like to report to you that I just realised that my wife bought 2,000 shares of Halo Motors Limited (the "Company") two days ago. As my wife is an immediate family member, this direct financial interest in the Company has created a self-interest threat, irrelevant to whether the bought shares are significant or not. Any self-interest threat will inappropriately influence judgement or behaviour.

My involvement in the audit team

I am one of the engagement managers in the audit team handling two account balances: "Inventories" and "Provisions and accruals". I am responsible for supervising five5 audit staff performing the work of these two account balances. Accordingly, I am not the only engagement team member who conducted the audit work. In addition, throughout the audit, I report my work to Alice Ma, the engagement senior manager. Nevertheless, the direct interests in an audit client are considered to create a significant threat to independence.

Proposed safeguards

In order to remediate the threat, I propose the following actions:

- My wife immediately disposes of the 2,000 shares in Halo Motors Limited;

- Request another audit manager or a senior engagement member to review the working papers prepared or reviewed by me, to ensure the judgement was exercised objectively;

- Report this matter to the Audit Committee of Halo Motors Limited and provide them with appropriate information regarding this incident and the relevant safeguards.

Conclusion

As my involvement in the audit of the consolidated financial statements is not extensive (only inventories and provisions and accruals), and my involvement is not substantial to these two accounts, with the proper safeguards in place, I consider that threat can be mitigated.

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer 5(a)

Expectations of the responsibilities of the audit committee as set out in the Corporate Governance Code of the Hong Kong Stock Exchange Listing Rules include, but are not limited to the following:

- The audit committee has the important functions of monitoring the integrity of the entity's financial statements, annual and interim reports and accounts, risk management and internal control. The audit committee should have a primary focus on the integrity of the financial reporting.

- The audit committee should ensure full co-operation with management and be supplied with sufficient information to carry out its role. The audit committee should understand the financial affairs of the entity and be able to see red flags where they exist.

Given that matters reported through the whistle blowing process of a company are usually more sensitive and serious in nature, and some allegations received may even involve the executive directors or senior management of the company, the involvement of an effective audit committee in the whistle blowing process is important. This is because:

- While an audit committee is part of the governance structure within a company, its responsibilities are directed at protecting the interests of users and other vested interests, independent of the board and management.

- An audit committee is a sub-committee of the board of directors, often comprising mostly independent directors. The broad function of an audit committee is to oversee the financial reporting and auditing functions within the company.

- An effective audit committee will take a proactive approach towards understanding the affairs of the entity and will take appropriate actions when there are indicators of unplanned issues and risks.

Answer 5(b)

I believe the proposal is not appropriate. Given ABC Limited is a Hong Kong listed company, the CEO and executive director of ABC Limited is responsible for the daily operation of ABC Limited and is not independent of the board and the management. A conflict of interest will exist when matters or allegations reported are against the duties of the CEO.

It is suggested that the audit committee or any designated committee comprising a majority of independent, non-executive directors, who are independent of the board and the management, should directly lead the whistle blower programme. All matters or allegations reported through the whistle blower system should be addressed directly to the audit committee or the designated committee.

The audit committee or the designated committee should consider the nature, sensitivity, and complexity of each matter or allegation reported and decide on the proper follow-up for each case reported. The audit committee or the designated committee should also consider who in the company should be involved in the follow-up or investigation (e.g., internal audit, in-house compliance, legal counsel, etc.) and whether external counsel must be involved at a point in time.

The audit committee or the designated committee can also work with internal audit to set up standard follow-up protocols and procedures by first classifying the matters or allegations reported in accordance with their nature, sensitivity, and complexity. For example, for matters which are less sensitive and serious in nature, such as employee disputes, the audit committee or the designated committee may delegate to internal audit to follow up the matters and report the results back to the audit committee or the designated committee. For matters which are more sensitive and serious in nature, such as alleged bribery involving senior management of the company, the audit committee or the designated committee may also need to involve in-house compliance or legal counsel to support the investigation and follow up.

Answer 6

Statement 1

I do not agree with the statement.

The existence of "super user" access may not necessarily result in a control deficiency. This is because many applications have "super user" accounts built in for business purposes.

The auditor should first understand why the "super user" access exists and should then assess the audit implications.

The auditor should then understand, evaluate and validate whether there are mitigating controls in place. This includes, for example: whether all entries are logged by the sales system; whether management of the company review the logs regularly and follow up on irregularities, if any; etc.

The auditor may not necessarily adopt a fully substantive audit test if there is evidence that the person within the company with the "super user" accounts has not inappropriately accessed to the sales system and data during the audit period, which would indicate that the risk associated with the "super user" access is low.

Statement 2

I do not agree with the statement.

Effective ITGCs support the consistent and effective functioning of the system-generated sales reports. These include, for example:

- Programme change controls that ensure any changes made to the sales reports are requested and authorised, tested before implemented, etc.

- Restricted access controls that restrict who within the company can modify the sales report or approve changes to the sales reports.

Therefore, the sales and accounting system should be scoped in the testing of ITGCs. Otherwise, substantive testing has to be performed to assess the completeness and accuracy of the information in the sales reports each time when the sales reports are used.

Answer 7(a)

Both investments are newly acquired by DEF Limited in the year. The carrying amounts of both investments in the management accounts doubled at year end compared to the original investment costs. The carrying amounts at year end of both investments, both individually and in aggregate, exceeds the overall materiality. The change of fair value of both investments recognised in the profit and loss accounts in aggregate exceeds the overall materiality.

The risk of material misstatements of Investment A in terms of existence and valuation to the financial statements of DEF Limited is considered as low. The reasons are as follows:

- Existence: DEF bought the fund online through its investment account opened at a bank which acted as its broker and custodian. Monthly statements are also available from the bank. The arrangement is common for a company investing in a listed fund.

- Valuation: The fund is listed with the public trade price easily accessible.

The risk of material misstatements of Investment B in terms of existence is considered as low. The reasons are as follows:

- The investment arrangement looks standard, with fund documents and regular statements from the fund administrator available, which is normal practice within the fund industry.

- In addition, the fund administrator is well-known in the industry.

However, the risk of material misstatements of Investment B in terms of valuation is considered high. The reasons are as follows:

- Though the fund administrator, who is well known in the industry, is expected to be experienced in valuing the fund based on the industry practice, the investment portfolio mainly consists of less popular and infrequently traded coins and tokens that may not have a market quote available. This increases the risk that the fund assets as well as the fund may not be properly fair valued at year end.

- In addition, the fund is newly set up and currently has no audited financial statements available. There is no information regarding whether an audit of the fund for the period from its date of inception to 30 June 2022 will be carried out by an independent auditor and the type of audit opinion that will be issued.

Answer 7(b)(i)

A qualified auditor's opinion is proposed. The reasons are as follows:

Nature of matter giving rise to the modification:

- Yu & Co after attempting to perform other alternative audit procedures on assessing the valuation of the coins and tokens, concluded that there are no available alternative audit procedures that could be performed. Yu & Co is unable to obtain sufficient appropriate audit evidence to make a definitive conclusion on the potential cumulative effects on the valuation of Investment B in DEF's financial statements.

Auditor's judgement about the material and pervasiveness of the effects or possible effects on the financial statements:

- As of 30 June 2022, Investment B carries at HK$20 million in DEF's management accounts. The carrying amount of Investment B in DEF's management accounts as at year end exceeds the overall materiality of HK$18 million, representing 1.67% of the total assets of DEF, which is material to DEF's financial statements.

- In addition, the affected financial statement line items are only restricted to "financial assets at fair value through profit and loss" in the statement of financial position and "changes of fair value of the financial assets" that is usually included in "other income" or other financial statement line item in the statement of profit or loss.

- The effects or possible effects on the financial statements is material but not pervasive.

Answer 7(b)(ii)

Basis for Qualified Opinion

During the year, the Company invested HK$10 million in a private equity fund. The Company's investment in the fund is classified as financial asset at fair value through profit and loss in the statement of financial position and carried at fair value. As at 30 June 2022, the carrying amount of the investment amounted to HK$20 million. The fund invests in many less popular and infrequently traded coins and tokens with market quotes that are not be available. The fund administrator also refused to provide information about the valuation methodology and assumptions and inputs used to estimate the fair value of the coins and tokens.

Given the abovementioned scope limitations, there were no other satisfactory procedures that we could perform to satisfy ourselves as to the valuation of the coins and tokens held by the fund as at 30 June 2022 and therefore, we were unable to determine whether any adjustments were necessary in respect of the balance of the fund's coins and tokens as at 30 June 2022. This has consequential impacts on the Company's financial assets at fair value through profit and loss as at 30 June 2022 and the changes in fair value of the Company's financial assets at fair value through profit and loss for the year ended 30 June 2022.

We conducted our audit in accordance with Hong Kong Standards on Auditing issued by the HKICPA. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the HKICPA's Code of Ethics for Professional Accountants ("the Code"), and we have fulfilled our other ethical responsibilities in accordance with the Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified opinion.

Answer 8

The proposed audit procedures should include the following:

- Understanding and evaluating C&C's processes and controls in assessing the possible impairment of its investment in XYZ.
- Obtaining from C&C management the valuation assessment and inquiring of management to understand their assessment and to understand the conclusion.
- Obtaining from C&C management the valuation report prepared by the external valuer, business updates, and latest forecast of XYZ provided by XYZ management.
- Assessing the independence, competence, objectivity, and capability of the external valuer.
- Understanding the nature, complexity, scope, and objectives of the external valuer's work.
- Obtaining management accounts of XYZ and comparing the actual financial results of XYZ to its original budget and understanding from management reasons for the budget shortfall.
- Assessing the appropriateness of the valuation methodology used in the valuation.
- Testing the key assumptions and data used in the valuation.
- Developing a point estimate or a range for comparison with management's estimates.
- Interviewing XYZ management to understand the processes and controls that they use to prepare the budget.

- Understanding from C&C management how they review the financial results of XYZ and challenge XYZ management on the budget.

- Considering if there are other relevant market benchmarks for assessing XYZ's fair value, such as the valuation of XYZ in pre-series A funding.

* * END OF EXAMINATION PAPER * * *